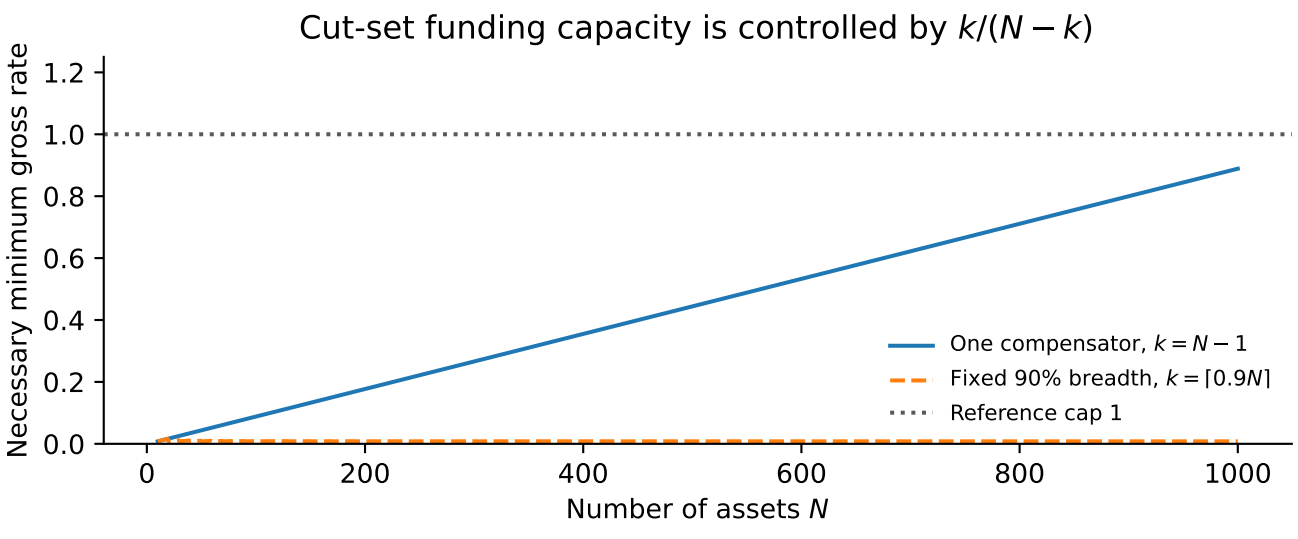
Cut-set funding capacity is controlled by $k/(N-k)$
Necessary minimum gross rate
1.2
1.0
0.8
0.6
0.4
0.2
0.0
0
200
400
600
800
1000
Number of assets N
One compensator, $k = N - 1$
Fixed 90% breadth, $k = \lceil 0.9N \rceil$
Reference cap 1